

Table 13.3 Cumulative Failure Rates

Maximum Price Rise or Decline (%)	Up Breakout	Down Breakout
5 (breakeven)	97 or 18%	75 or 35%
10	61 or 29%	43 or 55%
15	47 or 38%	33 or 70%
20	38 or 45%	18 or 79%
25	36 or 51%	8 or 82%
30	29 or 57%	13 or 88%
35	30 or 62%	9 or 93%
50	61 or 74%	8 or 96%
75	66 or 86%	7 or 100%
Over 75	77 or 100%	1 or 100%

As you look down the rows of this table, the failure rates climb to high values quite quickly. Combined with a mediocre average rise or decline, the pattern's overall performance doesn't bode well for traders using it to make money.

Here's how this table is useful. Suppose you have a wedge in a bull market and an upward breakout. The measure rule says to expect a rise of 10 points to the top of the pattern from the current \$40 price. That's a 25% rise.

According to the table, how many wedges will fail to see price rise more than 25%? Answer: 51%. So half the patterns will fail. It might make you rethink your expectation of a large rise.

Table 13.4 shows breakout-related statistics.

Breakout direction. Most descending broadening wedges break out upward, as the table shows.

Yearly position, performance. Mapping performance over where the breakout price appears in the yearly price range, we find that the pattern performs best if the breakout is within a third of the yearly low. In second place is the highest third. You'll want to avoid trading patterns in the middle of the yearly high–low range (they perform worst).